

Perpetual Philanthropy



Endowments benefit the University of Vermont
now and forever

Endowments fund the present and the future.

- You create **perpetual funding** for your philanthropic priorities
- Your endowment **gift is invested**:
 - A portion of investment return provides annual funding for scholarships, professorships, or any program you choose
 - The rest of investment return compounds to grow your endowment
- Your endowment **relieves fiscal pressures** – *current and future*:
 - *Pressures*: Rising education costs balanced against flat or modest tuition increases, student debt capacity, and competition for limited state resources
 - *Relief*: Endowments create a new permanent source of funding

Create Your Endowment



PERPETUAL PHILANTHROPY
Endowments benefit the University of Vermont
now and forever

Creating an endowment is easy.

PURPOSE

NAME

MOTIVATION

GIFTS

IMPACT



What do you want to support? Who do you want to honor? And why are you creating an endowment?

Purpose

Choose an area to support at UVM, like a scholarship, professorship, or program.

Remember, an endowment lives forever so the purpose and any other criteria need to be sufficiently broad to last hundreds of years.

Name

Name the endowment, perhaps after you, in memory of a family member, or in honor of an influential campus leader.

Motivation

Tell us your motivation for investing in the University's future or give us a history of the namesake.

Your legacy will be carried through your words to generations of students, faculty, and alumni.

Contribute and then watch your endowment grow and benefit your philanthropic priorities.

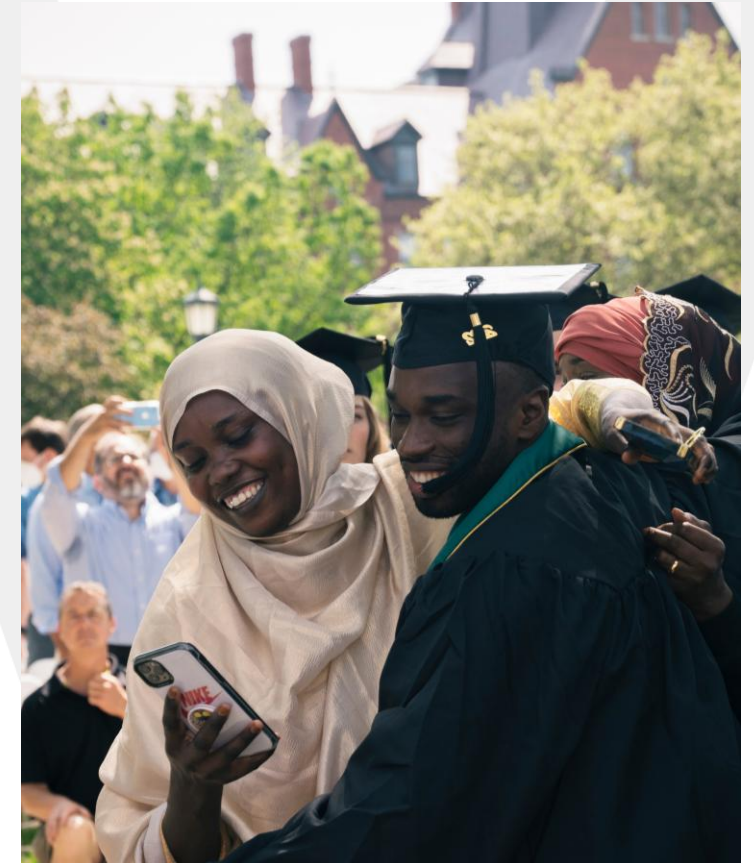
Gifts

Contribute in one year or pledge over multiple years an amount to provide sufficient funding for your purpose in light of a 4.5% spending distribution policy.

Consider expanding, or even creating, your endowment through an estate gift.

Impact

Connect with UVM students and faculty whose work your endowment makes possible, and explore annual reports that illustrate how your endowment brings your philanthropic vision to life and continues to grow through strong investments.



Your endowment purpose shapes the future by strengthening faculty, enriching student lives, and creating lasting impact.

Endowment Purpose	Endowment Gift Minimum	Estimated Annual Spending Distributions
Deanship	Custom	Custom
Chair	\$3,000,000	\$126,000
Professorship	\$1,000,000	\$42,000
Green and Gold Professorship	\$250,000	\$10,500
Faculty Teaching or Research Award	\$100,000	\$4,200
Research Fund	\$50,000	\$2,100
Departmental or Programmatic Fund	\$50,000	\$2,100
Graduate Fellowship	\$250,000	\$10,500
Scholarship	\$1,000,000	\$42,000
	\$100,000	\$4,200
	\$50,000	\$2,100

Faculty support for teaching, research, and public service is essential for world-class learning.

Deanship

- Provides support to a range of discretionary uses, including but not limited to a dean's compensation, faculty research and scholarship, public service, professional conferences, and other programs related to the promotion of academic excellence in the school or college.

Chairs and Professorships

- Provides support to a faculty member's teaching, instructional programs, research, public service, professional conferences, and other scholarly activity, and may supplement the funding of salary and benefits.

Faculty Teaching or Research Award

- Provides support to a faculty member's scholarly activities including teaching, research, public service, and professional development.

Research Fund

- Provides support for research activities of a department, including equipment, supplies, and wages.

Department or Programmatic Fund

- Provides support to a department, program or other unit for its general purposes.



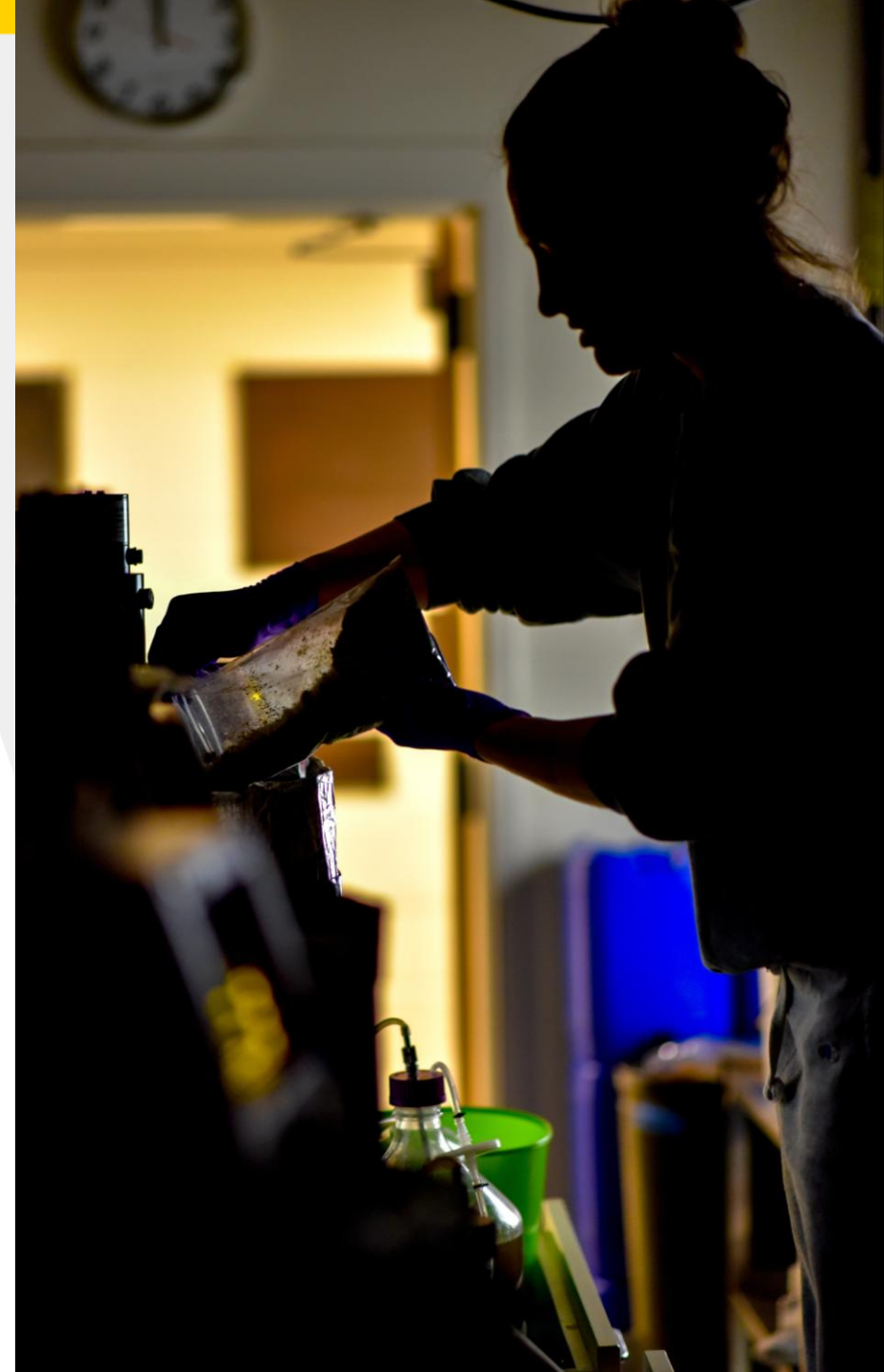
Students need financial support for all levels of education.

Graduate Fellowship

- Provides financial aid, stipends, travel, equipment, supplies or other support to graduate students for education, research, and scholarly work.

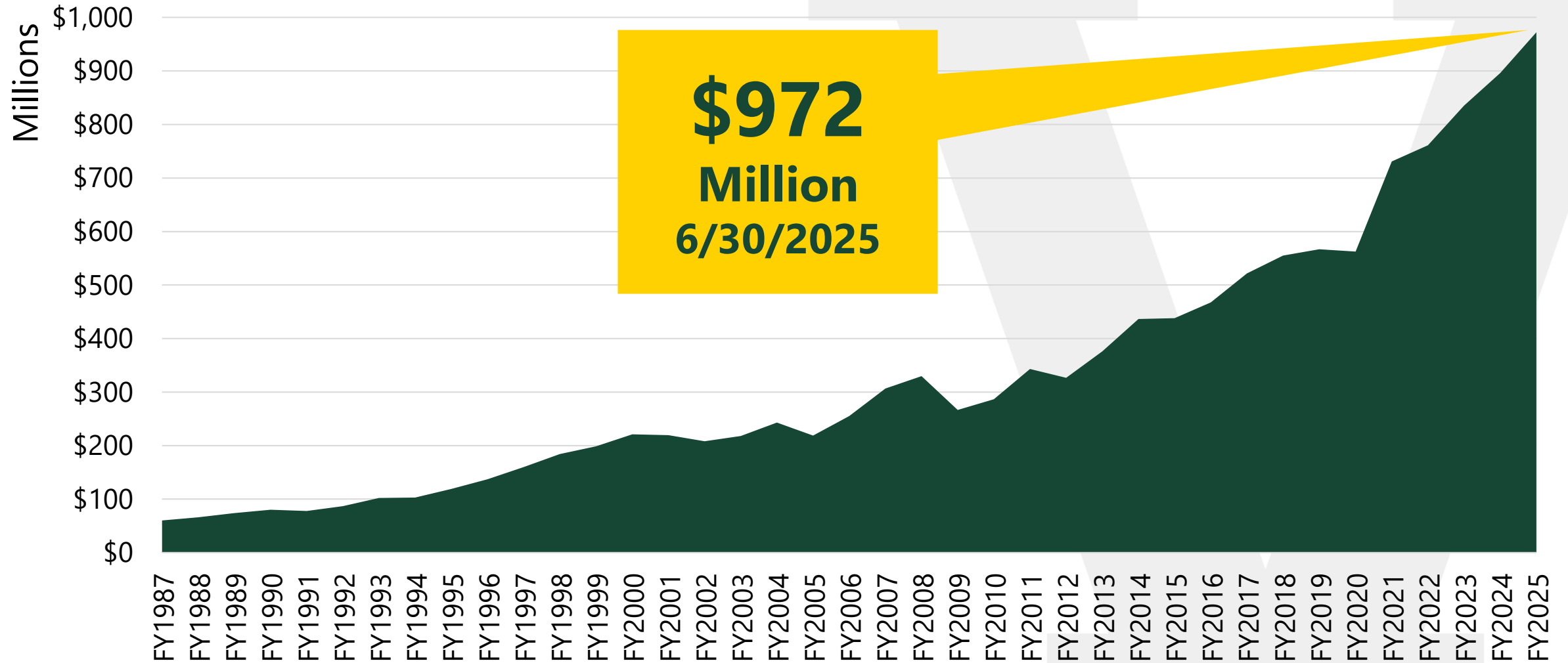
Scholarship

- Provides financial aid to students.
- Donors may specify recipient criteria which should be limited in order to ensure awards can be made every year, such as:
 - Academic merit
 - Financial need
 - Undergraduate students, graduate students
 - Schools, colleges, departments
 - Degrees, programs, majors, minors
 - Residency requirements

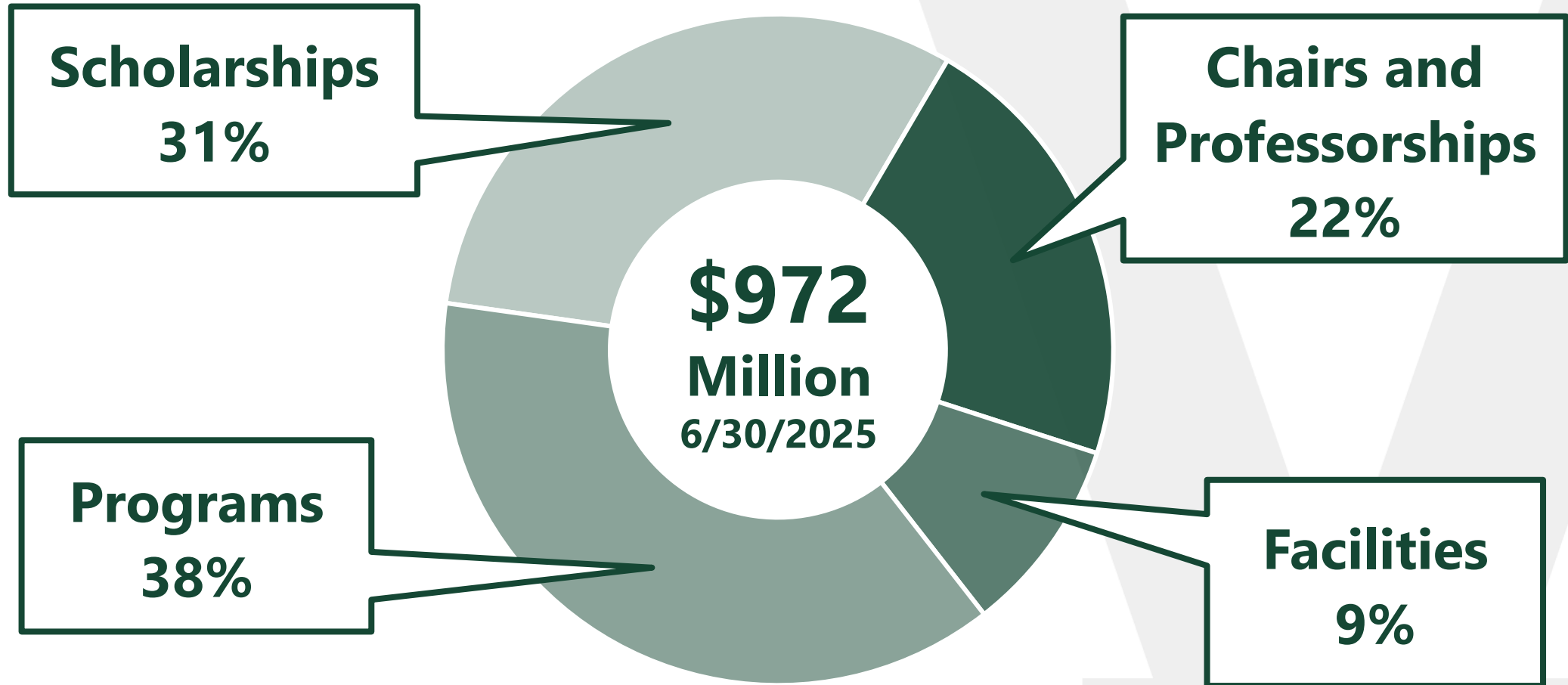


Total UVM Endowment

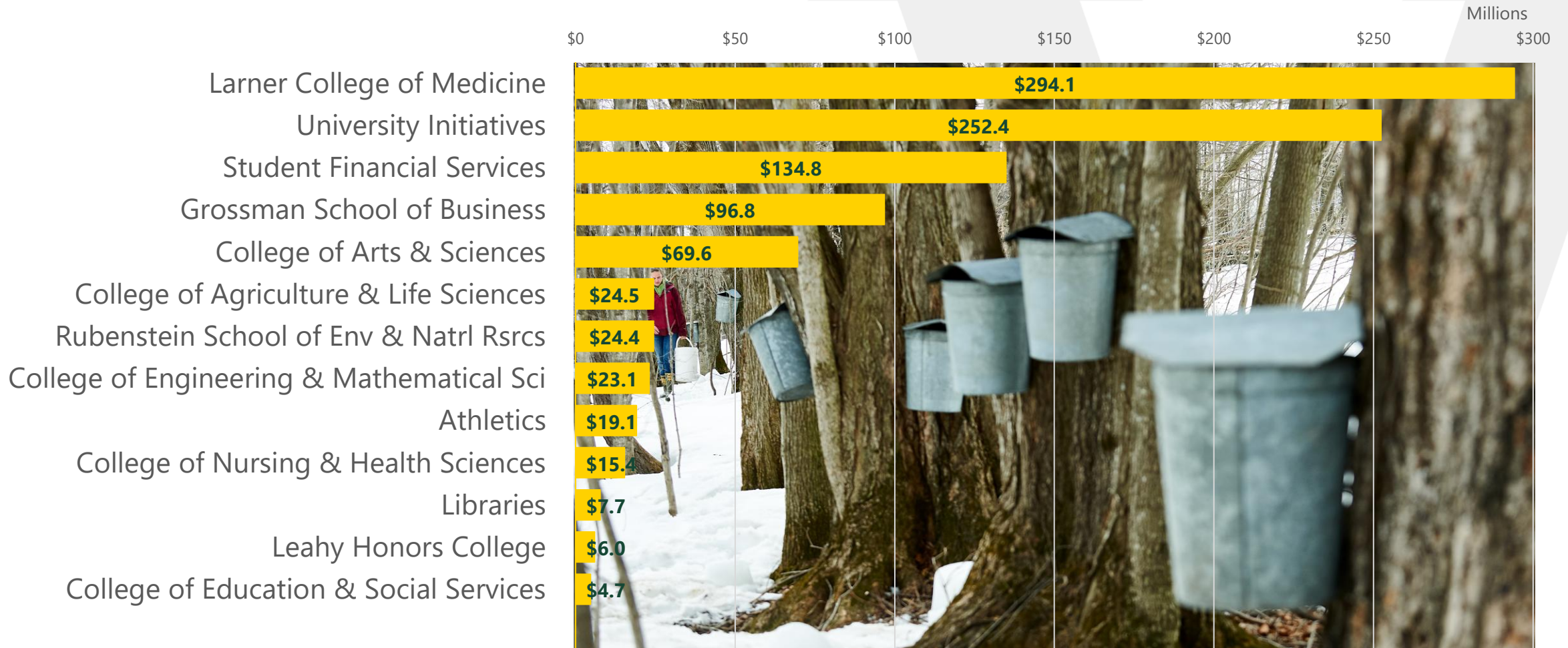
Total UVM Endowment



Total UVM Endowment



Total UVM Endowment



Total UVM Endowment

July 1, 2024, to June 30, 2025	Market Value
Beginning Market Value	896,299,225
Investment Return	84,893,958
Distributions to Spending Account	(38,056,452)
Gifts to Endowment Principal	30,242,278
Transfers and Other Changes	(905,485)
Ending Market Value	972,473,524



Total UVM Endowment

University of Vermont Endowment

Long Term Pool	648,579,318
Separate Investments	11,527,192
Subtotal University of Vermont Endowment	660,106,510

UVM Foundation Endowment

Long Term Pool	224,358,091
Green Pool	6,084,516
Larner College Commercial Real Estate	22,054,852
Grossman School Pool	57,271,512
Grossman School Student Investments	746,948
Trusts Held by Others	1,851,095
Subtotal UVM Foundation Endowment	312,367,014

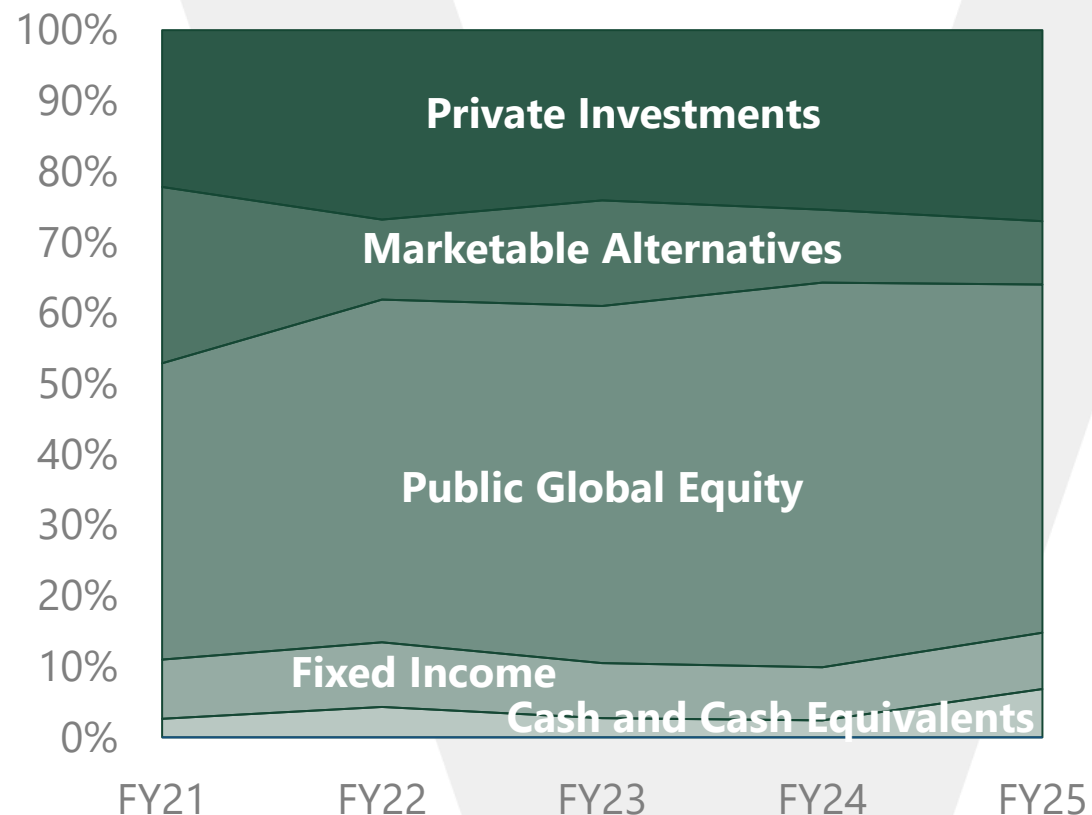
TOTAL UVM ENDOWMENT — 6/30/2025	972,473,524
--	--------------------

Long Term Pool

- Investment Performance:
 - 10.7% in FY25
 - 10.4% Trailing 5-Year Average
 - 7.8% Since Inception in 2012 at UVM Foundation
 - 7.9% Since Inception in 1987 at the University
- No direct investments in fossil fuels, cluster munitions, Sudanese government, or tobacco.



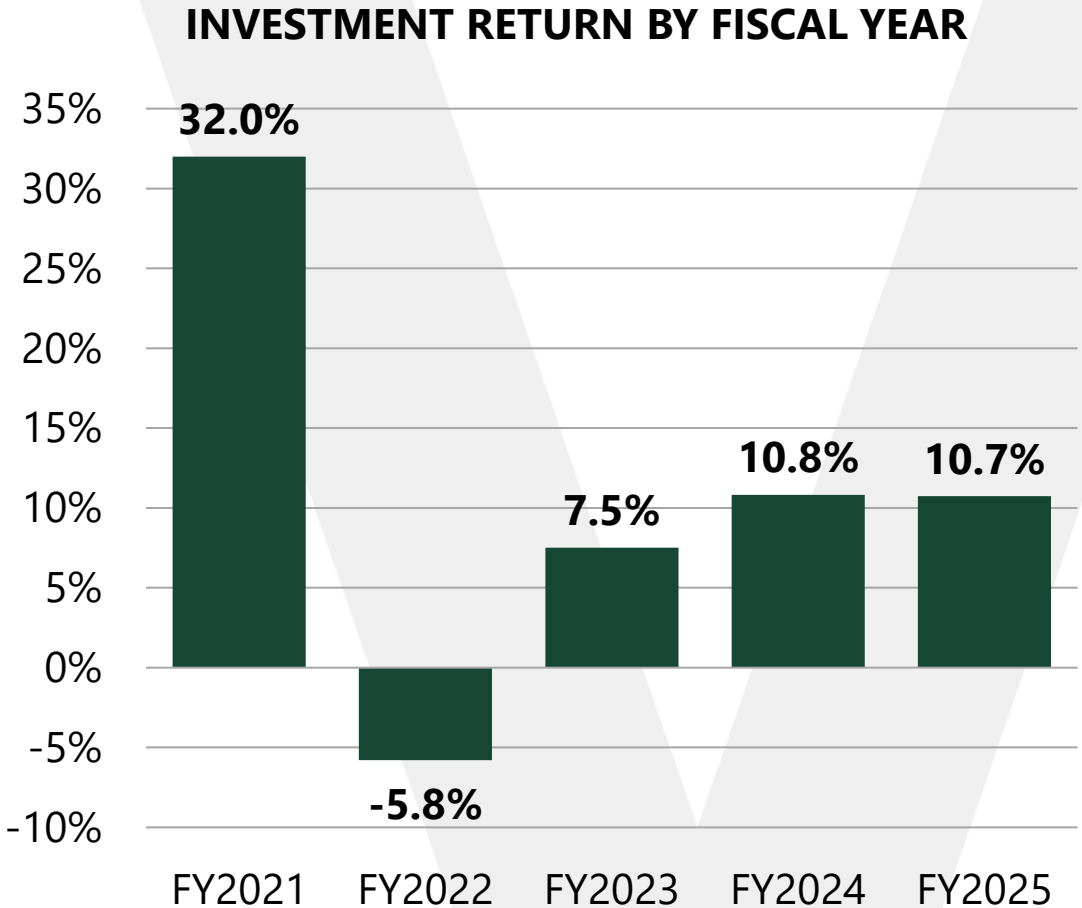
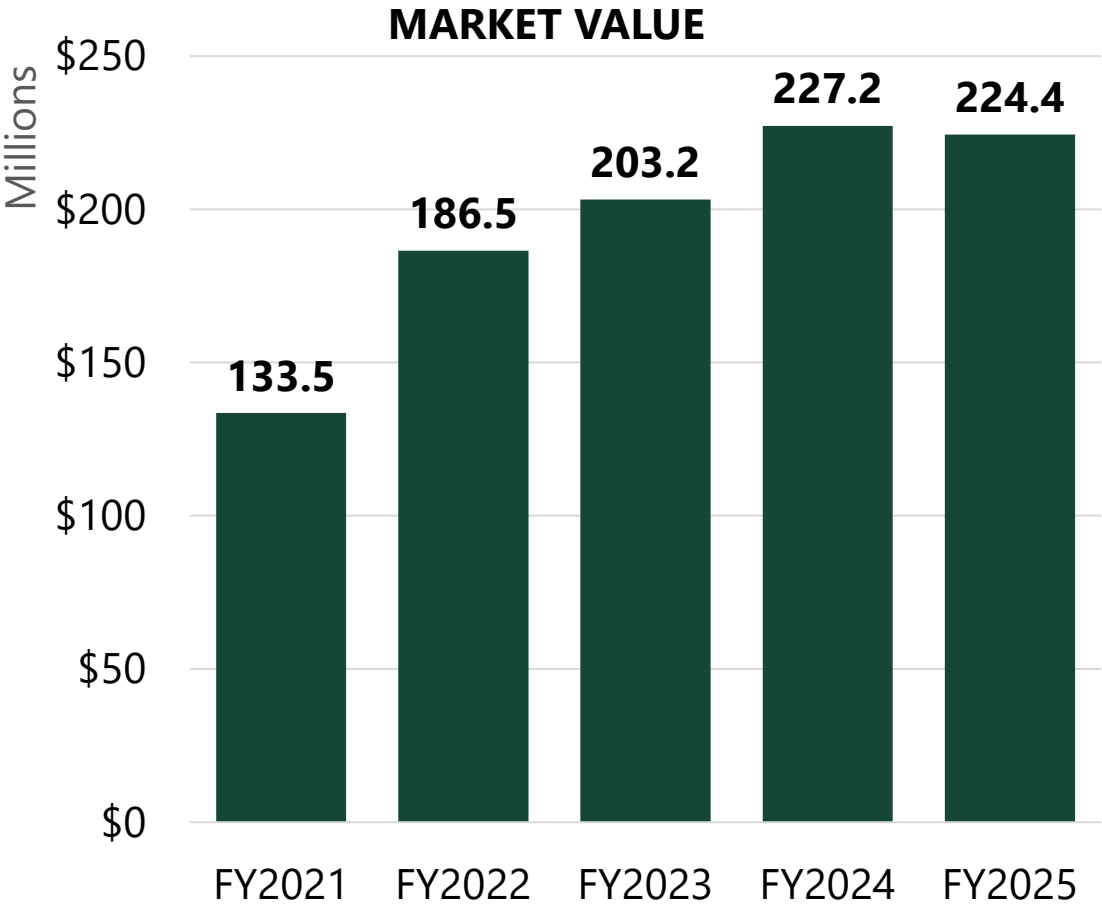
Asset Allocation



PERPETUAL PHILANTHROPY

Endowments benefit the University of Vermont
now and forever

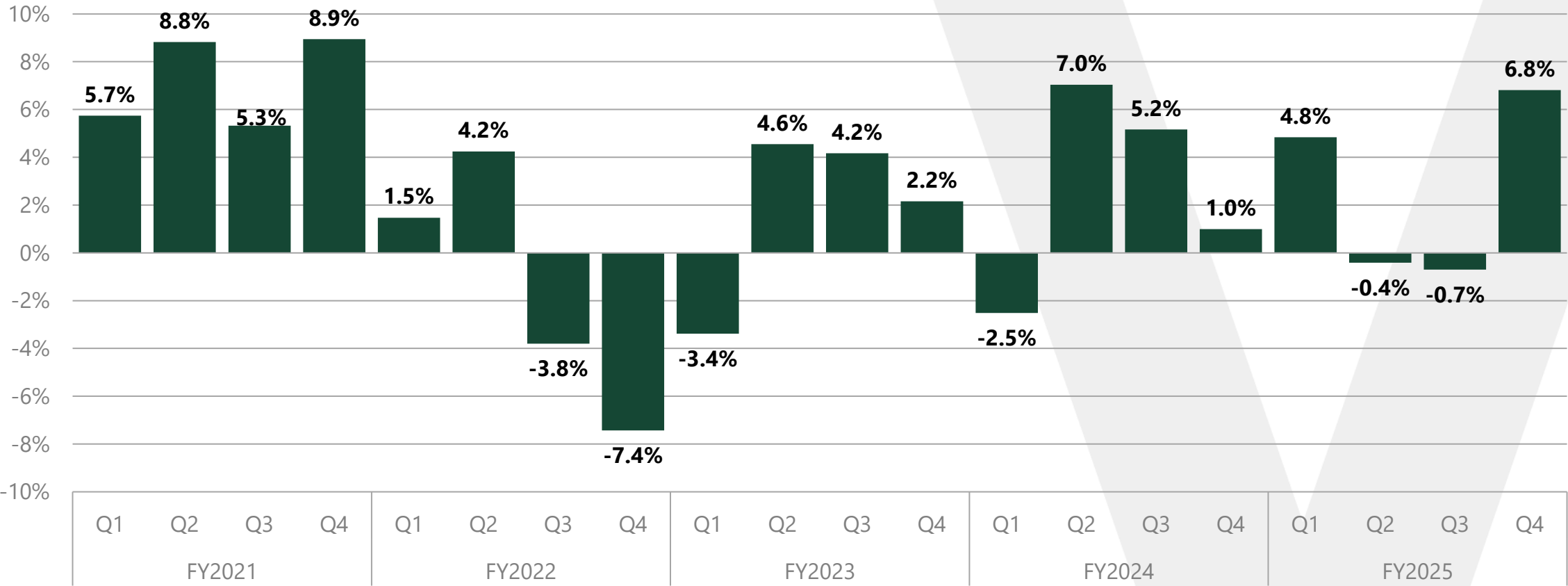
Long Term Pool



PERPETUAL PHILANTHROPY
Endowments benefit the University of Vermont
now and forever

Long Term Pool

INVESTMENT RETURN BY QUARTER

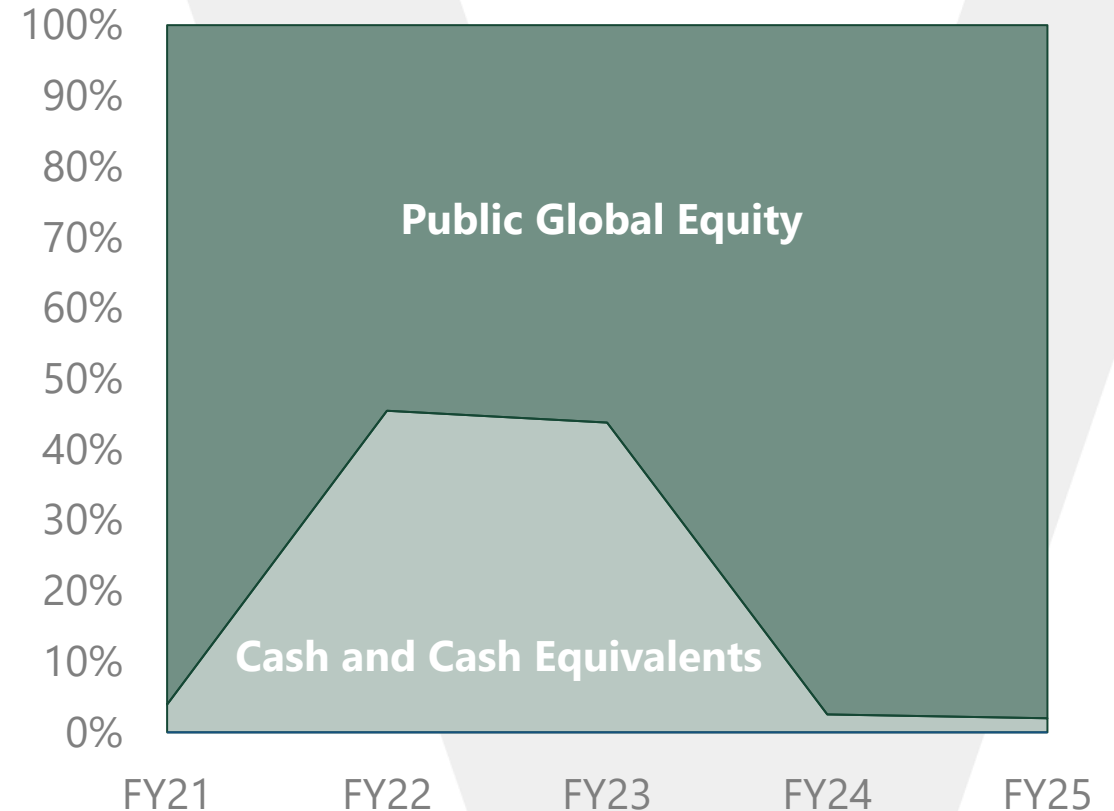


Green Pool

- Investment Performance:
 - 14.5% in FY25
 - 10.2% Trailing 5-Year Average
 - 7.9% Since Inception in 2014 at UVM Foundation
- No investments in fossil fuels or nuclear energy.
- Investment selection includes non-financial environmental performance indicators.



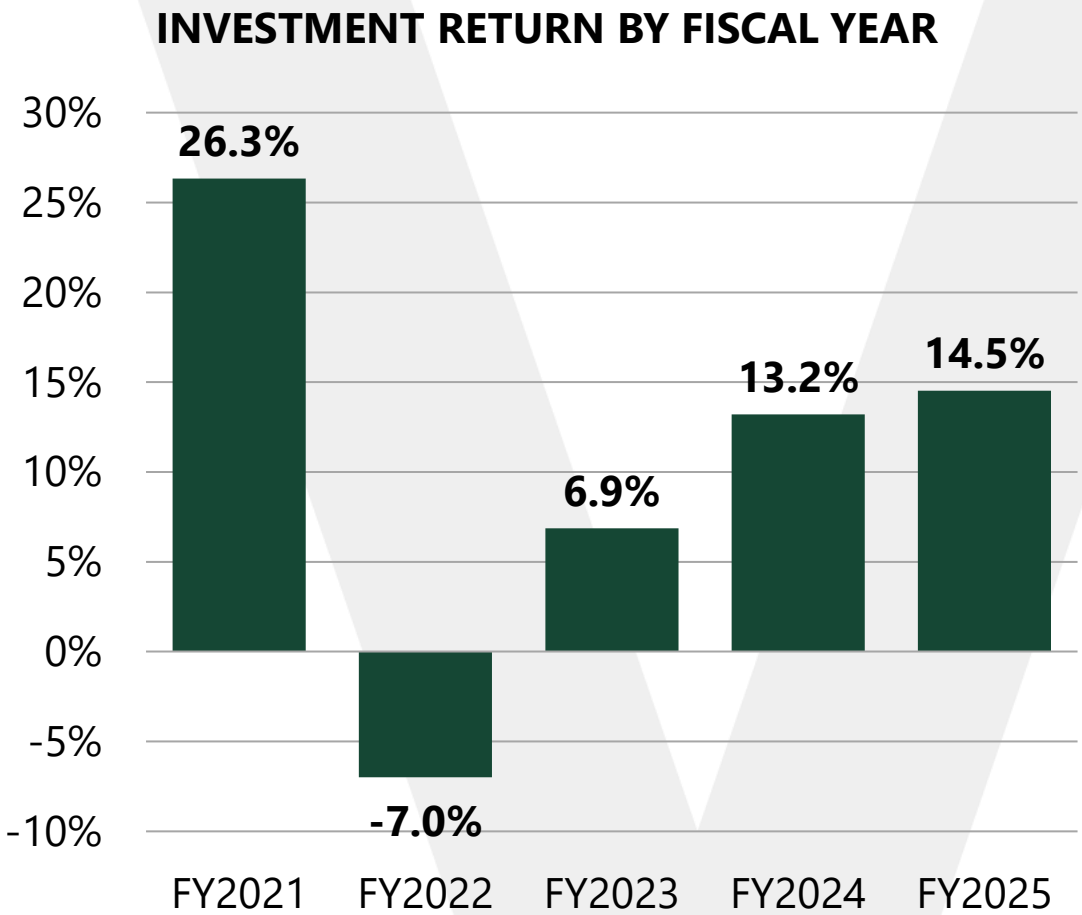
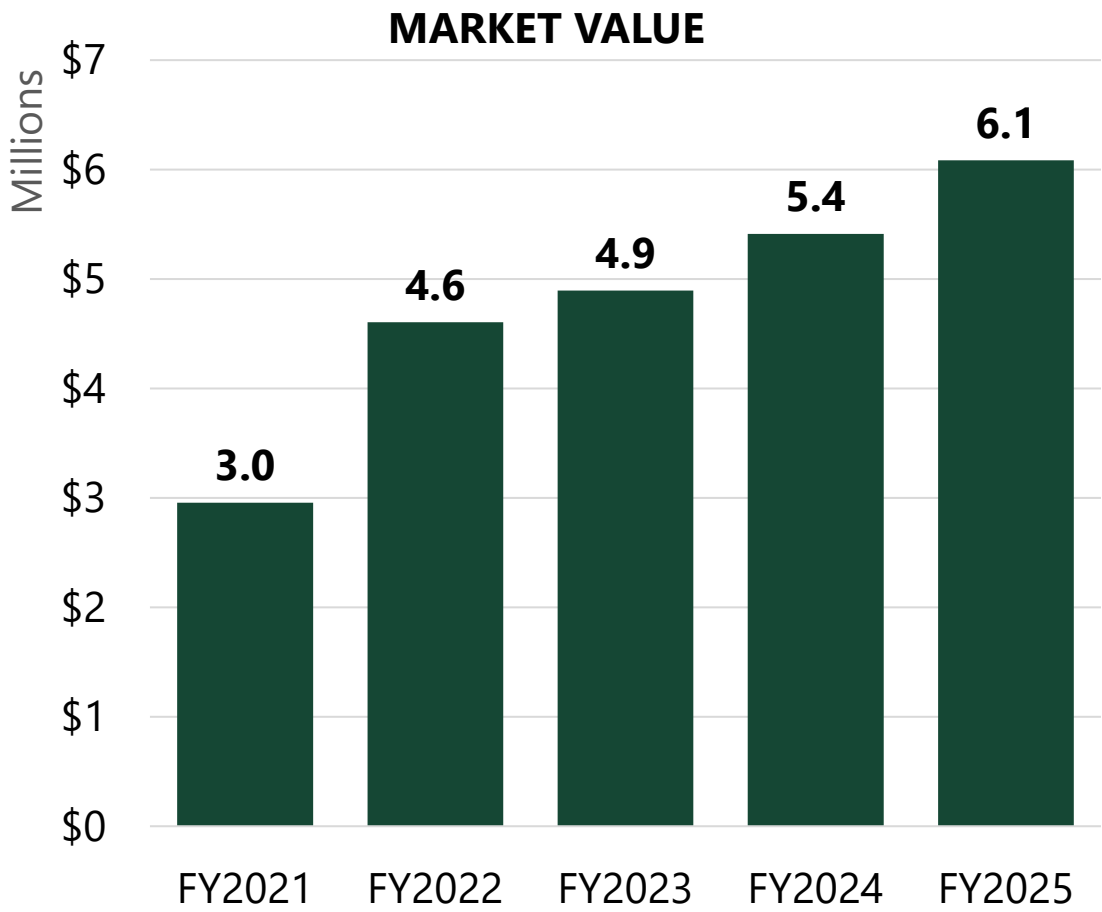
ASSET ALLOCATION



PERPETUAL PHILANTHROPY

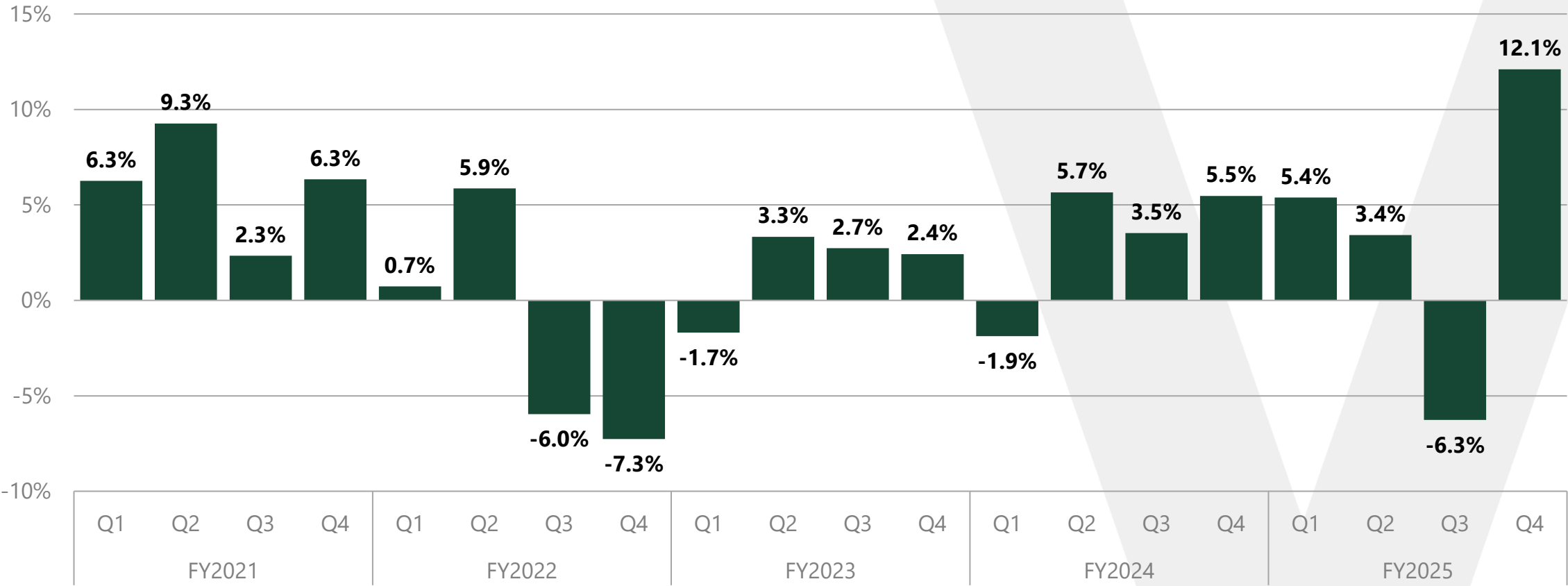
Endowments benefit the University of Vermont
now and forever

Green Pool



Green Pool

INVESTMENT RETURN BY QUARTER



Various volunteer groups are responsible for investment oversight and management.

- Board-approved policies of the University and UVM Foundation set the rules for the **uniform management of endowments**:
 - Defined investment pools
 - Investment objectives
 - Spending distributions
 - Reporting and general oversight by the Boards and Committees
- University and UVM Foundation boards have delegated investment selection to a UVM Foundation subsidiary, UVIMCO (University of Vermont Investment Management Company, LLC).
- UVIMCO was established in 2023 to manage endowment assets of the University and UVM Foundation with a Board of Managers comprised of:
 - Three voting managers appointed by the University
 - Four voting managers appointed by UVM Foundation
 - University President and UVM Foundation CEO are *ex officio* non-voting managers
- UVIMCO Board of Managers selects advisors, fund managers, and individual holdings for assets assigned by the University and UVM Foundation.

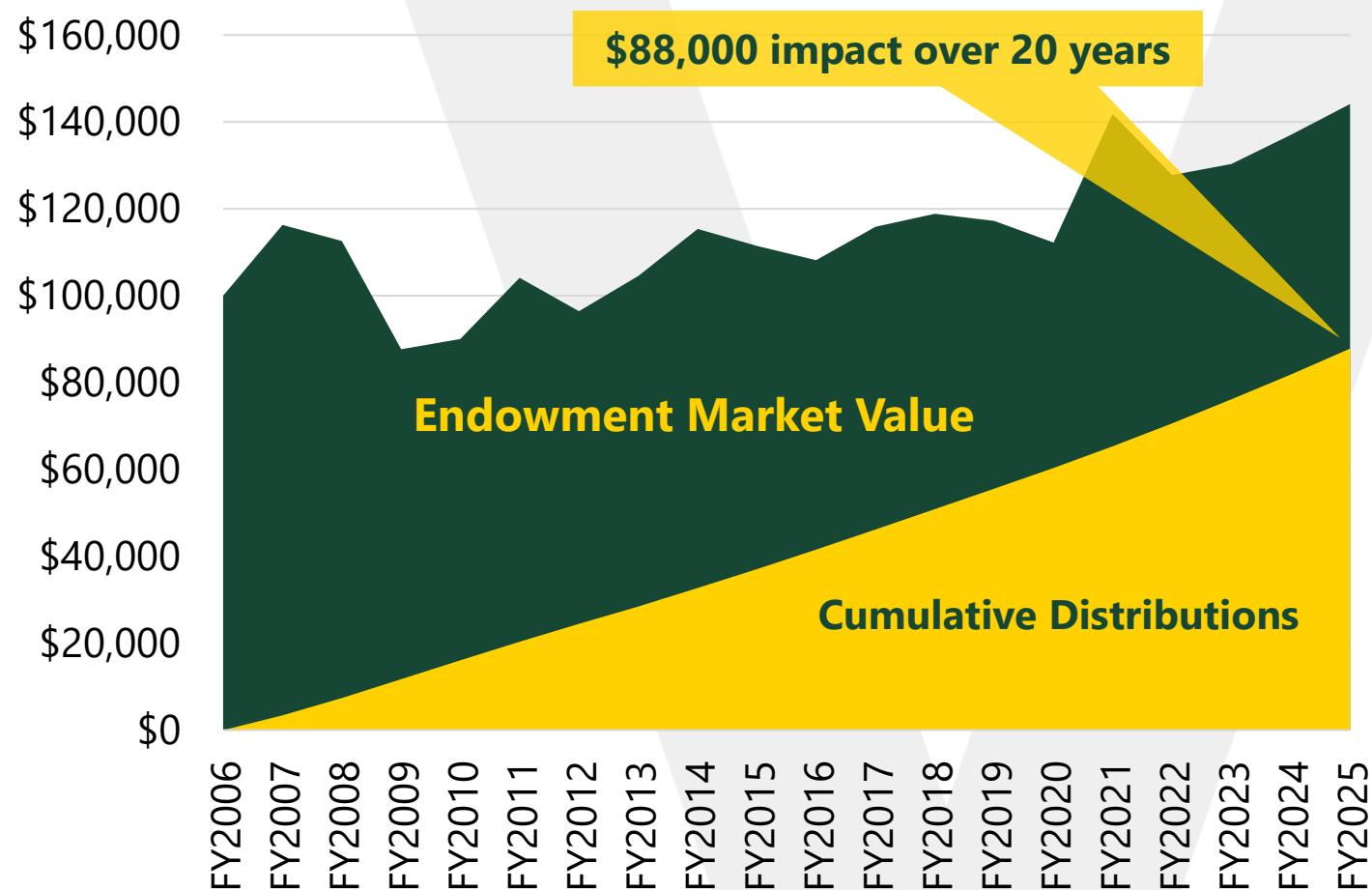
Endowment Illustrations



PERPETUAL PHILANTHROPY
Endowments benefit the University of Vermont
now and forever

What if you created an endowment twenty years ago?

A **\$100,000 gift** in 2006 would have grown to a **\$144,000 market value** in 2025 while providing **\$88,000 in cumulative distributions** for your philanthropic purpose at the University.



Professorship — Endowment Gifts Over 4 Years

Professorship endowments provide funding for the holder's teaching, research, public service, and other scholarly activities. When gifts are received over multiple years, the endowment provides the holder with limited resources until the donor's commitment is fully paid. \$1,000,000 gifted over four years to the endowment.

	Year 1	Year 2	Year 3	Year 4	Year 5
ENDOWMENT ACCOUNT					
Beginning Market Value	0	257,500	520,000	787,400	1,059,800
Investment Return	7,500	23,000	38,700	54,700	63,600
Distributions to Spending Account	0	(10,500)	(21,300)	(32,300)	(43,400)
Gifts to Endowment Principal	250,000	250,000	250,000	250,000	0
Ending Market Value	257,500	520,000	787,400	1,059,800	1,080,000
SPENDING ACCOUNT					
Beginning Balance	0	0	500	1,800	2,100
Distributions from Endowment	0	10,500	21,300	32,300	43,400
Gifts to Spending Account	0	0	0	0	0
Gift Fees	0	0	0	0	0
Spending at the University	0	(10,000)	(20,000)	(32,000)	(43,000)
Ending Balance	0	500	1,800	2,100	2,500

Professorship — Endowment and Current Gifts

A donor can make current use gifts in addition to endowment gifts. In this example, the combination of current use gifts and endowment spending distributions provide the holder with full resources even as the donor builds the endowment over multiple years. \$1,000,000 gifted over four years to the endowment, with \$70,000 in current use gifts.

	Year 1	Year 2	Year 3	Year 4	Year 5
ENDOWMENT ACCOUNT					
Beginning Market Value	0	257,500	520,000	787,400	1,059,800
Investment Return	7,500	23,000	38,700	54,700	63,600
Distributions to Spending Account	0	(10,500)	(21,300)	(32,300)	(43,400)
Gifts to Endowment Principal	250,000	250,000	250,000	250,000	0
Ending Market Value	257,500	520,000	787,400	1,059,800	1,080,000
SPENDING ACCOUNT					
Beginning Balance	0	0	1,750	4,800	3,600
Distributions from Endowment	0	10,500	21,300	32,300	43,400
Gifts to Spending Account	0	35,000	25,000	10,000	0
Gift Fees	0	(1,750)	(1,250)	(500)	0
Spending at the University	0	(42,000)	(42,000)	(43,000)	(43,000)
Ending Balance	0	1,750	4,800	3,600	4,000

Scholarship — Endowment Gifted in One Year

Scholarships provide funding to students to cover tuition, room, board, fees, and other expenses. You can specify criteria, such as: financial need; academic merit; college or school; undergraduate, graduate, or medical degree program; or Vermont resident or out-of-state resident. \$100,000 gifted in one year to the endowment.

	Year 1	Year 2	Year 3	Year 4	Year 5
ENDOWMENT ACCOUNT					
Beginning Market Value	0	103,000	105,000	107,000	109,000
Investment Return	3,000	6,200	6,300	6,400	6,500
Distributions to Spending Account	0	(4,200)	(4,300)	(4,400)	(4,500)
Gifts to Endowment Principal	100,000	0	0	0	0
Ending Market Value	103,000	105,000	107,000	109,000	111,000
SPENDING ACCOUNT					
Beginning Balance	0	0	200	500	400
Distributions from Endowment	0	4,200	4,300	4,400	4,500
Gifts to Spending Account	0	0	0	0	0
Gift Fees	0	0	0	0	0
Spending at the University	0	(4,000)	(4,000)	(4,500)	(4,500)
Ending Balance	0	200	500	400	400

Research — Endowment Created via Bequest

Research funding supports equipment, supplies, travel, and compensation of faculty, graduate students, and others. You can support any academic unit or identify specific research topics. \$5,000 gifted each year during your lifetime with a \$100,000 bequest via your estate to create the endowment.

	Year 1	Year 2	Year 3	Bequest Year	Next Year
ENDOWMENT ACCOUNT					
Beginning Market Value	0	0	0	0	103,000
Investment Return	0	0	0	3,000	6,200
Distributions to Spending Account	0	0	0	0	(4,200)
Gifts to Endowment Principal	0	0	0	100,000	0
Ending Market Value	0	0	0	103,000	105,000
SPENDING ACCOUNT					
Beginning Balance	0	750	1,000	1,500	500
Distributions from Endowment	0	0	0	0	4,200
Gifts to Spending Account	5,000	5,000	5,000	0	0
Gift Fees	(250)	(250)	(250)	0	0
Spending at the University	(4,000)	(4,500)	(5,000)	(1,000)	(4,000)
Ending Balance	750	1,000	750	500	700

Endowment 101



PERPETUAL PHILANTHROPY
Endowments benefit the University of Vermont
now and forever

GIFT

Donor's gift is the perpetual principal.

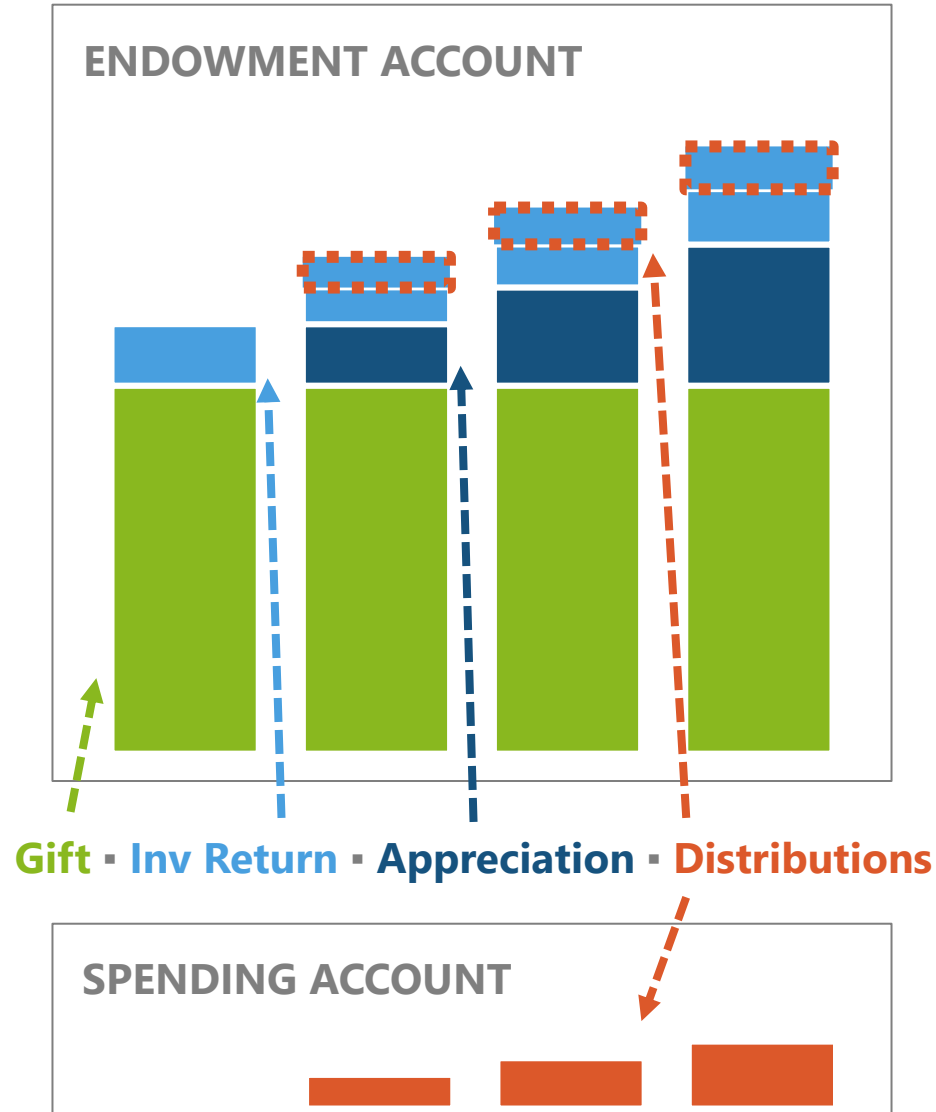
INVESTMENT RETURN

Donor's endowment produces investment return in a diversified pool, sufficient to fund spending, and to meet or exceed inflation. Investment return is net of fees.

APPRECIATION

Appreciation is accumulated investment return net of spending distributions and is retained in the endowment to maintain purchasing power and accommodate spending distributions in years with low returns.

Endowment 101



DISTRIBUTIONS

Board policy sets a uniform distribution from the endowment account to the spending account at 4.5% of the 13 quarter average market value per unit as of December 31 for use the following July 1. The University uses the spending account to support the purposes specified by the donor.

DONOR REPORTS

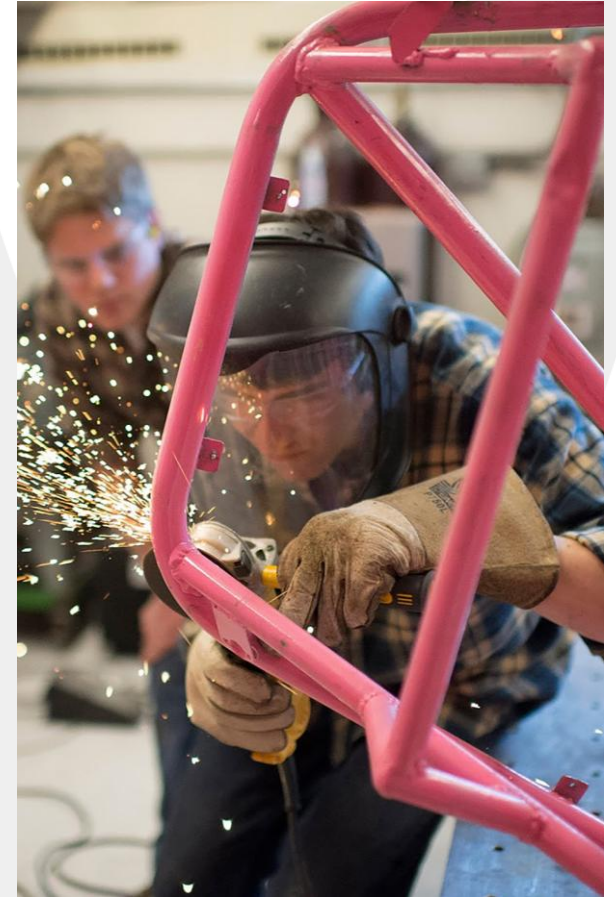
Founding Donors receive custom annual reports showing investment performance in the endowment account and uses by the University in the spending account.

How does your endowment gift grow?

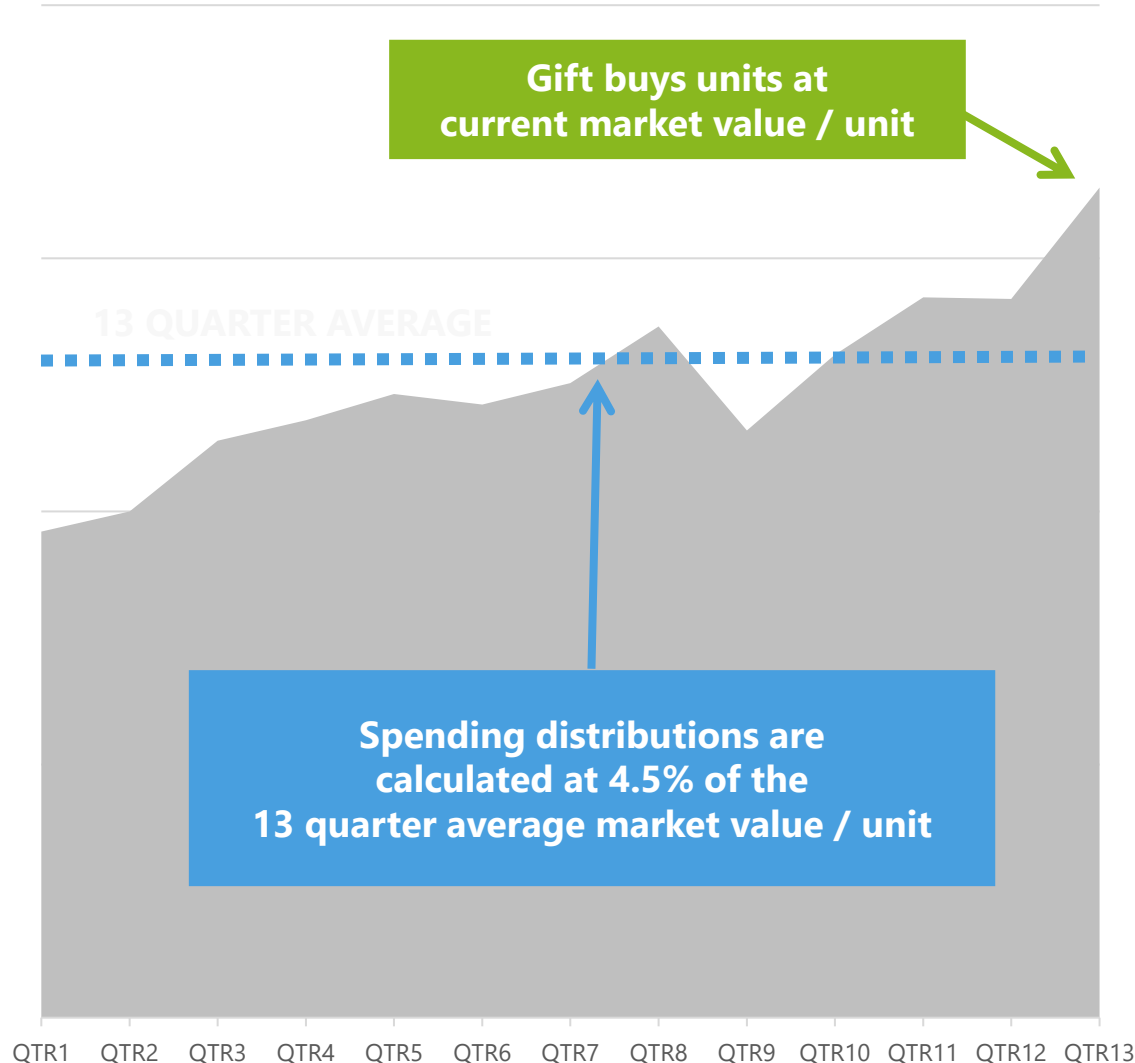
- Your endowment is **similar to a mutual fund** investment.
- Your **gift purchases units** (or shares) in a pool at the current quarter-ending market value per unit.
- Your gift is **invested forever**.
- You can make gifts **during your lifetime and via your estate**.
- You can **invite family and friends to contribute** to your endowment as well.
- Your endowment will **earn investment return** as part of a diversified investment pool, administered in a uniform and prudent manner, governed by board-approved policies.
- Investments are selected for **long-term growth**, sufficient to cover annual spending distributions and inflation.
- To help **preserve purchasing power** over time and to provide a cushion in down markets, investment returns in excess of spending distributions are retained in your endowment.
- The value of your endowment at any point in time can **fluctuate based on market gains and losses**.

How much can the University spend from your endowment?

- Spending distributions are made from the endowment account to the spending account on a **uniform and regular basis**.
- To **smooth the highs and lows** of an endowment's market value, spending distributions are based on a formula.
- The formula for spending distributions is **4.5% of the pool's 13 quarter average market value per unit**.
 - The 13 quarter average market value per unit will vary year to year and historically is about 85-95% of the current market value per unit, depending on market performance.
- Distributions are calculated at the **end of December for use the following July**, which is the start of UVM's academic year.



MARKET VALUE / UNIT ILLUSTRATION



SPENDING DISTRIBUTION CALCULATION

Assume a donor makes a \$100,000 gift in December (Qtr13) when values are:

\$5,000 – current mv/unit

\$4,667 – 13 quarter average mv/unit

The \$100,000 gift buys 20 units at \$5,000 current mv/unit. Those 20 units make spending distributions at 4.5% of the 13 quarter average mv/unit of \$4,667:

$\$100,000 / \$5,000 = 20 \text{ units}$

$20 \text{ units} * \$4,667 * 4.5\% = \$4,200$

Since the 13 quarter average mv/unit is 93.3% of the current mv/unit, the 4.5% spending distribution is also 93.3% of the gift (and 93.3% of the current market value):

$\$4,667 / \$5,000 = 93.3\%$

$\$100,000 * 93.3\% * 4.5\% = \$4,200$

How does the December deadline for contributions factor into spending distributions?

Year 1				Year 2				Year 3
Qtr 1	Qtr 2	Qtr 3	Qtr 4	Qtr 1	Qtr 2	Qtr 3	Qtr 4	Qtr 1
Jul-Sep	Oct-Dec	Jan-Mar	Apr-Jun	Jul-Sep	Oct-Dec	Jan-Mar	Apr-Jun	Jul-Sep
Gift	Investment Return	Investment Return	Investment Return	Inv Return & Distributions	Inv Return & Distributions	Inv Return & Distributions	Inv Return & Distributions	Inv Return & Distributions
	Gift	Investment Return	Investment Return	Inv Return & Distributions	Inv Return & Distributions	Inv Return & Distributions	Inv Return & Distributions	Inv Return & Distributions
		Gift	Investment Return	Investment Return	Investment Return	Investment Return	Investment Return	Inv Return & Distributions
• Gifts received by December 31 will be eligible for spending distributions beginning the following July 1. • Your endowment will receive at least two quarters of investment return before spending distributions begin. • UVM has time to plan on your endowment for use the following academic year.				Gift	Investment Return	Investment Return	Investment Return	Inv Return & Distributions
					Gift	Investment Return	Investment Return	Inv Return & Distributions
						Gift	Investment Return	Inv Return & Distributions

How are you informed of your endowment's growth and impact?

- You will **see the impact of your endowment** throughout the academic year, through different communications:
 - Student letters about your scholarship
 - Faculty research findings
 - Program highlights
 - Campus news and events
 - Fundraising activities for similar purposes
- You will **see the growth of your endowment** on an annual basis and will receive updates on investment strategy, market conditions, and historical performance



University of Vermont Foundation

UVM Foundation is a Vermont nonprofit corporation and a 501(c)(3) publicly supported charity (federal tax ID 45-1556038) that secures and manages private support to benefit the University of Vermont.

Your gift is administered based on your intentions as well as policies approved by the Board of Directors of UVM Foundation. Visit uvmfoundation.org to view statements related to donor rights and privacy; gift, endowment, and fee policies; board bylaws and meeting minutes; audited financial statements; IRS forms and documents; and FAQs.

For market comparison and benchmarking purposes, historical investment return is calculated after external costs (such as fund manager fees) but before internal costs (such as advisor and endowment fees).

Endowments examples are provided for illustration purposes only and assume: gifts are received in December; annual investment return is 6%, net of all fees; spending distributions are estimates of the 13 quarter average market value / unit calculation; and spending at the University is used to demonstrate both expenses as well as carried-forward balances.